



COUNTY OF SONOMA

575 ADMINISTRATION
DRIVE, ROOM 102A
SANTA ROSA, CA 95403

SUMMARY REPORT

Agenda Date: 5/14/2019

To: Board of Supervisors, Occidental Sanitation District, Russian River Sanitation District, Sonoma Valley Sanitation District, South Park County Sanitation District, Sonoma County Water Agency Sanitation Zones
Department or Agency Name(s): Permit Sonoma (Permit and Resource Management Department)
Staff Name and Phone Number: Regina De La Cruz 707-565-2296, Tennis Wick 707-565-1925
Vote Requirement: Majority
Supervisory District(s): ALL

Title:

FY 19-20 Fee Schedule

Recommended Actions:

County of Sonoma

Planning and Building Regulatory Fees:

Adopt an ordinance adjusting fees for certain development applications, permits and services provided by the Permit and Resource Management Department to recover the reasonable cost of providing these services.

Hazardous Materials for Certified Program Agency Regulatory Fees:

Adopt a resolution adjusting fees for providing regulatory services in compliance with state law to inspect and permit businesses that generate or store hazardous materials to recover the reasonable cost of providing these services.

Fire Prevention Regulatory Fees:

Adopt a resolution adjusting fees for providing regulatory services in compliance with state law to inspect for compliance with the California Fire Code and recover the reasonable cost of providing these fire prevention, inspection and permitting services.

Sea Ranch Sanitation Charges - Proposition 218 Hearing/Majority Protest/Rates Collected on Tax Roll

Conduct a hearing pursuant to California Constitution article XIII D, Section 6 (Proposition 218) to consider proposed on-site wastewater disposal charges for County Service Area #41 Sea Ranch Zone 2 for Fiscal Year 2019-20.

If no majority protest exists, adopt a resolution of the Board of Supervisors for the CSA #41 Sea Ranch Zone 2 for on-site wastewater disposal charges for Fiscal Year 2019-20 and ordering the annual Sea Ranch on-site wastewater disposal charge to be collected on the County of Sonoma tax roll pursuant to Health and Safety Code section 5473 for Fiscal Year 2019-20 (4/5ths vote).

Board of Directors, Sonoma County Water Agency

Adopt an ordinance increasing and adjusting certain fees for sewer permit, plan check, and inspection services to cover the reasonable costs of providing these regulatory and permitting services.

Board of Directors, Occidental County Sanitation District

Adopt an ordinance increasing and adjusting certain fees for sewer permit, plan check, and inspection services to cover the reasonable costs of providing these regulatory and permitting services.

Board of Directors, Russian River County Sanitation District

Adopt an ordinance increasing and adjusting certain fees for sewer permit, plan check, and inspection services to cover the reasonable costs of providing these regulatory and permitting services.

Board of Directors, Sonoma Valley County Sanitation District

Adopt an ordinance increasing and adjusting certain fees for sewer permit, plan check, and inspection services to cover the reasonable costs of providing these regulatory and permitting services.

Board of Directors, South Park County Sanitation District

Adopt an ordinance increasing and adjusting certain fees for sewer permit, plan check, and inspection services to cover the reasonable costs of providing these regulatory and permitting services.

Executive Summary:

Permit Sonoma provides land use planning, building code and engineering inspections, hazardous materials inspection and fire code inspection and permitting services for the unincorporated areas of Sonoma County. As directed by the Board, Permit Sonoma has worked diligently and efficiently to keep its costs low and provide these services as efficiently as possible to help the Sonoma County community recover. Permit Sonoma has conducted internal time tracking to ensure its fees do not exceed the reasonable cost to provide these regulatory and inspection services to the fee payers. In addition to internal time studies, Permit Sonoma is coordinating with the County Administrator, County Counsel and other County departments to retain a fee consultant to perform a fee study to continue to improve efficiencies in the delivery of these services and to ensure that all fees are calculated using industry best practices. Permit Sonoma has not adjusted fees since July 2017, and most fees have not changed since July 1 2016. During this time labor and other costs have increased significantly, with additional increases expected in FY 2019-20. The Department is

recommending fee increases averaging 3.9% to return the department to a higher level of cost recovery. In addition, the Department is recommending a new fee for Sewer Pump System Review and a new State-mandated fee for certified access specialist training.

Discussion:

I. Planning, Building, Hazardous Materials and Fire Prevention Fees:

Fees for most services are charged at a flat-rate based on the average number of hours it takes staff to perform the service, multiplied by the hourly staff rate with overhead burden applied including administrative costs, allocable customer service costs, and permit data processing via Accela and functional computer support from the Permit Sonoma Digital Information Systems unit for FY19-20. For large planning projects such as discretionary use permits, the County also charges for County Counsel review at the rate of \$276 per hour. This rate is billed in quarter hour increments. The number of hours required for various services is reviewed regularly to ensure that the fees are neither over-recovering nor under-recovering the cost of providing the service. In addition to internal cost studies, Permit Sonoma is coordinating with the County Administrator's Office and County Counsel's Office to retain a fee consultant to conduct a thorough fee study to ensure its fees are no more than necessary to recover the cost of providing these services to the fee payers.

In this fee item, Permit Sonoma is requesting an across-the-board cost of living adjustment (COLA) of 3.9% due to known increases in salary and benefit costs related to labor agreements as well as increases in fixed and semi-fixed costs associated with county-wide cost allocations and internal service rates. The COLA increase of 3.9% is based on increased salaries and benefits and overhead costs as they relate to prior period staffing levels. To avoid comingling of costs associated with growth, increased capacity, or improved functional support, the 3.9% COLA specifically isolates known cost increases to preexisting salaries, benefits, and overhead rates since the last request for an increase of 3.8% in FY15-16. The COLA calculations for FY19-20 do not include any increases in cost that are associated with increased staffing levels, service contracts or other cost increases that relate to any of the budgeted quantity increases for permit production, building inspections, or planning projects addressed during operations during the three year period beginning July 1, 2017 and ending June 30, 2020.

New Fees

Sewer Pump System Review: The department reviews sewer permit applications to ensure that they comply with Sonoma County Code and Sonoma County Water Agency Sanitation Codes. The proposed sewer fee is a one-time only plan check fee, not an inspection fee. The fee would cover the additional cost to review sewer permit applications that require pump systems. This fee recovers the cost of reviewing pumped sewer systems that have not been previously captured or accounted for in other plan check fees. Staff estimates average time to complete this type of review is 2.5 hours. Staff proposes setting this fee at \$352.50 which is equal to the blended labor hour rate for an Engineer and an Engineer Technician at \$141 an hour. Staff will continue to

review these fees to ensure they reflect the actual cost to provide this service.

State Mandated Fee for Certified Access Specialist Training: Government Code Section 4467 mandates that jurisdictions collect a flat fee of \$4.00 on all building permits to support mandated Certified Access Specialist training. The highest priority shall be given to the training and retention of certified access specialists to meet the needs of the public in the jurisdiction as provided in Section 55.53 of the Civil Code.

II. Sea Ranch Sanitation Charges

Permit Sonoma is responsible for annually evaluating and setting rates for residences in The Sea Ranch, which are served by on-site septic systems. These rates cover the cost for a contract operator to maintain and monitor these systems to ensure proper function, as well as minor administrative costs. These rates are subject to Proposition 218. They require 45 days mailed notice to property owners, a public hearing, and an opportunity to protest the rates. In July 2015, the fee was set at \$195.00 and remained in effect until June 30, 2018. No rates were charged in fiscal year 2018-19 as the fund balance was sufficient to sustain operating costs for one fiscal year. Permit Sonoma recommends reducing the annual rate to \$168.00 to reflect a reasonable cost of performing these services. In compliance with Proposition 218, notice of this rate have been mailed to every parcel in the Sea Ranch zone to notify residents of the new rate, the date of the public hearing, and the opportunity to protest the rate. At the public hearing, the Board will consider protests, if any. If there is not a majority protest, the Board may adopt the resolution to set the rate and by a 4/5ths vote to collect the 2019-20 rates on the tax roll.

III. Sewer Plan Check, Inspection and Permit Fees for the Occidental, Russian River, Sonoma Valley, South Park County Sanitation Districts and the Sonoma County Water Agency Sanitation Zones

Each year, Permit Sonoma staff prepare fee ordinances on behalf of the Sonoma Valley, Russian River, South Park and Occidental County Sanitation Districts (Districts) as well as for the sanitation zones managed by the Sonoma County Water Agency. These ordinances set fees to recover Permit Sonoma's costs to perform regulatory services including plan check, inspection and permitting services. These services are provided to those entities pursuant to a 1995 Agreement for Development Services. Staff recommends the Board of Directors of the Districts and the Agency adopt these ordinances to recover the reasonable cost of providing these regulatory services.

Prior Board Actions:

4/26/16 - Ordinance No. 6150 adding new fees and adjusting fees for certain development applications, permits, and services provided by Permit Sonoma in order to cover the costs of providing the related services for FY2016-17.

4/26/16 - Ordinances setting sewer permit, plan check, and inspection fees for County sanitation districts/zones for FY2016-17.

5/9/17 - Resolution No. 17-0199 adopting fees for the Fire and Emergency Services Department for Certified Unified Program Agency Hazardous Materials.

5/9/17 - Resolution No. 17-0200 adopting fees for the Fire and Emergency Services for Fire Prevention plan check, inspections, and services.

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4/14/15 Resolution No. 15-0139 setting and adopting Sea Ranch Zone on-site disposal of wastewater rates through June 30, 2018.

FISCAL SUMMARY

Expenditures	FY 18-19 Adopted	FY19-20 Projected	FY 20-21 Projected
Budgeted Expenses			
Additional Appropriation Requested			
Total Expenditures			
Funding Sources			
General Fund/WA GF			
State/Federal			
Fees/Other			
Use of Fund Balance			
Contingencies			
Total Sources			

Narrative Explanation of Fiscal Impacts:

All fee amendments, including the requested 3.9% COLA, will be effective beginning July 12, 2019 for fiscal year ended June 30, 2020. For FY19-20 the department wide increase in revenue from all fee rate adjustments and the COLA as presented are projected to be \$930,600 across all divisions.

Staffing Impacts:			
Position Title (Payroll Classification)	Salary Range (A - I Step)	Additions (number)	Deletions (number)

Narrative Explanation of Staffing Impacts (If Required):

N/A

Attachments:

1. Permit Sonoma Fees Cover Sheet and Fees Detailed
2. Permit Sonoma Fee Ordinance and Exhibit A
3. CSA 41 Sea Ranch Resolution
4. Permit Sonoma Certified Unified Program Agency Hazardous Materials Fee Resolution and Exhibit A

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5. Permit Sonoma Fire Prevention Fee Resolution and Exhibit A
6. Sonoma County Water Agency Sewer Service Area Fee Ordinance and Exhibit A
7. Occidental Sewer Service Area Fee Ordinance and Exhibit A
8. Russian River Sewer Service Area Fee Ordinance and Exhibit A
9. Sonoma Valley Sewer Service Area Fee Ordinance and Exhibit A
10. South Park Sewer Service Area Fee Ordinance and Exhibit A

Related Items “On File” with the Clerk of the Board:

Sea Ranch Property List by Parcel Only